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Amazon

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Amazon is an e-commerce company founded in 1994 by Jeff Bezos. It is the leading e-retailer in the United States with approximately US\$178 billion net sales in 2017. It has over 300 million active customer accounts globally. Its website, [Amazon.com](https://www.amazon.com), consistently ranks in the top 15 most visited websites globally. Through its website, the company sells a wide range of physical consumer products including books, DVDs, electronics, clothing, beauty products, and food. These products can be sold directly by Amazon or by third-party sellers on Amazon's sales platform. Amazon also sells a wide range of virtual products including streaming and downloadable video products, e-books, gift cards, cloud storage, and web services and even has a compensated crowdsourcing work site called *Mechanical Turk* where online users perform organizational tasks for a fee. Amazon has also increased its presence in the brick-and-mortar business environment, purchasing Whole Foods Market in 2017.

This entry provides an overview of Amazon, first detailing its history, consumer-friendly features, and its wide variety of products and services. It then explores controversies surrounding the company.

History

Amazon was started in July 1994 by Jeff Bezos. The site was originally going to be called *cadabra*, a play on the magician's phrase *abracadabra*, but the similarity of the term to the word *cadaver* led to a name change. *Amazon* was selected as it gave the company a sense of large scale and a name starting with the letter "A" was beneficial for appearing close to the front of alphabetized listings of websites. The site initially focused on selling books and used the tagline "Earth's biggest bookstore." The Amazon business model was focused on growth, not profit, with no goals related to generating profit in its first 5 years. Amazon went public in May 1997. Its first profitable quarter was in 2001, and first full-year profit came in 2003.

Consumer-Friendly Features

Amazon has introduced a number of features to facilitate easy purchasing by customers. In September 1997, they introduced one-click purchasing, where users could set up their account, so they could just click Buy for an item; choosing this option meant they didn't need to go through a checkout process—their credit card on file was charged automatically. Amazon Prime was introduced in 2005 with users paying an annual fee to get perks on the site like *free shipping* and reduced price 1-day shipping. The benefits of Amazon Prime would expand over time. Amazon also increased its product range over the years to include food products and items sold by the third parties. The products sold also came to include virtual items such as e-books and digital video content.

The drive for providing quality customer service has led Amazon to also consider novel ways to get products to consumers, which has included testing with drones, 1-hour or 2-hour delivery in select cities, and even fulfillment systems that predict consumer behavior; by sending products to locations geographically closer to customers, the fulfillment system predicts who will buy those products soon.

Amazon divides their website into departments, with each department representing either an Amazon product or a category of where/how an item is used. The Amazon product departments include Kindle e-readers, Fire Tablets, Echo & Alexa, Amazon Music, and Prime Video. The categories of products related to where/how they are used include Movies, Music, & Games, Food & Grocery, *Beauty & Health*, *Clothing*, *Shoes & Jewelry*, and *Books & Audible*. Site visitors are able to search in any of these categories for particular items. Users of the site set up their own account, which can be used to save payment information, make wish lists of products, and house digital content the user has purchased. Users are also able to write reviews for items on the site. A user can write a review for any item they wish and rate that item on a 1–5 scale. If the user purchased

that item through Amazon, their review is tagged to let people know that fact. For every user review, other users are able to indicate whether they found the review helpful or not.

Amazon sells a large number of items directly, but they also allow third-party vendors to sell items on the site. The items can be new or used, with restrictions tied to particular categories. These third-party vendors can be the actual company that produces the item, large retail organizations, or even individual buyers selling an item they no longer want. Third-party vendors can ship items sold or have Amazon take care of all logistics related to shipping. Users are able to rate individual transactions with third-party vendors on a 1–5 scale and can make comments. Amazon tracks these ratings and other transaction data like shipping time and will ban sellers that fall below particular levels.

Prime Membership

Amazon Prime is a membership program offered by Amazon that has over 100 million members. Users pay a yearly fee to gain particular benefits related to the site and Amazon products. Amazon Prime membership has historically included discounted or free shipping of products purchased from Amazon. As of 2018, Amazon Prime members got free 2-day shipping for all items on the website sold directly by Amazon and discounted 1-day shipping. In 2015, Amazon began an annual sales event called *Prime Day*, where prime members have access to member-exclusive deals on the site. Prime membership appears to motivate users to buy more products on Amazon, with one analysis suggesting prime members spend yearly almost 3 times more than nonmember users do. Prime includes a number of services, including a lending library for the Kindle, free music content through Amazon Music, product discounts, and exclusive content on sites like the video game streaming site Twitch.

Amazon Prime has included in its membership Prime Video, which is Amazon's streaming video service. Amazon licenses a wide range of television shows and movies for its service. It also has a number of programs that are Prime Video exclusives, which are called "Prime Originals." Original content has included series that have won Golden Globes and Emmy awards—for example, the programs *Transparent* and *The Marvelous Mrs. Maisel*. Amazon has also obtained the exclusive streaming rights for award-winning films like *The Big Sick*. Amazon is looking to significantly increase its exclusive content, with US\$5 billion in original content projected to be created in 2018. Amazon also partners with content producers like Comedy Central and HBO to provide individual programs and content collections that users can access for an additional monthly fee.

Amazon Pantry and Whole Foods

Amazon has also made significant inroads into the grocery business. Amazon Pantry represented the first foray and is included in Amazon Prime. Users are able to buy grocery items through Amazon and have them delivered to their homes with the option for the next day delivery. In select large U.S. cities, free same-day delivery is offered.

Amazon expanded its reach in the brick-and-mortar grocery business through its purchase of Whole Foods Market in 2017 for US\$13.7 billion. The grocery store chain specializes in organic foods and has over 450 stores across the United States, Canada, and United Kingdom. Amazon has begun to integrate Whole Foods with Amazon Prime. Amazon Prime members can get discounts in physical Whole Food stores and can now make Whole Food orders online and get their order delivered directly to designated parking spots at Whole Food locations. Amazon has also worked to decrease prices at Whole Food stores and has expanded home delivery services in a number of major U.S. cities. Early results suggest that Amazon Prime members have

adopted these Whole Foods benefits more quickly than other membership benefits introduced in the past.

Web Services

Amazon runs the largest cloud storage and web services business in the United States, Amazon Web Services, which, estimates from 2018 suggest, controls approximately 30% of the current market. Amazon Web Services is one of Amazon's most profitable endeavors with over 1 million users. Amazon was one of the first companies to offer extensive web services and cloud storage, with the service starting in 2006. Amazon offers cloud storage for businesses and individuals to securely store data and computer processes remotely. It also offers server space to run websites and online applications. Amazon Web Services has over 1,400 services including features that relate to machine learning, the Internet of Things, and serverless computers. Amazon SageMaker, released in November 2017, is a service that helps organizations manage and simplify their machine-learning model processes.

Amazon Mechanical Turk

Amazon offers its own service for outsourcing business tasks and responsibilities called *Amazon Mechanical Turk*, which launched publicly in 2005. Amazon Mechanical Turk is the largest in the industry. The service involves organizations paying online users to do work-related tasks, which has been called "*compensated crowdsourcing*." These online crowds do work remotely on their own computers. The Amazon Mechanical Turk application provides the medium by which organizations provide tasks for workers, workers engage in the task, and the ultimate distribution of pay for tasks done. Task can vary significantly in length (sometimes just seconds to multiple hours) and complexity (from simple labeling tasks to complex translation or even computer coding). The services started for Amazon's own use but is now opened up globally for organizations and has a workforce across a number of countries, primarily the United States and India.

Controversies

Amazon has had a number of controversies over the years. The first major controversy was critics contending that Amazon was killing brick-and-mortar booksellers. As the scope of items sold on Amazon has increased, Amazon is now accused of killing brick-and-mortar retailers in general. These accusations have come from social critics, elected officials, and even President Trump. Some consider Amazon to be a monopoly, although it has not violated standards set by U.S. laws related to monopolies and control of any product marketplace. Amazon's focus on growth over profit has made it difficult for other organizations to compete pricewise with the site. Some companies, in fact, have worked to collaborate in order to better compete with Amazon. Walmart and Microsoft entered a strategic partnership in 2018 largely for that reason.

See also [Book Publishing, History and Economics of](#); [Internet, History and Economics of](#); [Netflix](#); [Shopping Websites](#); [Streaming Media](#)

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